Interprovincial Migration and Housing Price Growth in Canada (2010–2025)

This report examines the relationship between interprovincial migration rates and housing price index (HPI) growth across Canadian provinces from 2010 to 2025.

1. Research Question

The primary objective of this study is to determine whether higher interprovincial migration rates are associated with higher housing price growth across Canadian provinces.

2. Data Sources and Construction

Data Sources:

- New Housing Price Index (HPI), monthly, Statistics Canada (18-10-0205-01).
- Population estimates, quarterly, Statistics Canada (17-10-0009-01).
- Estimates of the components of interprovincial migration, annual, Statistics Canada (17-10-0021-01).

Provinces Included:

Newfoundland and Labrador, Prince Edward Island, Nova Scotia, New Brunswick, Quebec, Ontario, Manitoba, Saskatchewan, Alberta, British Columbia (10 provinces).

Variable Construction:

- HPI Growth: Annual percentage change in provincial HPI.

$$Growth\ Rate = \frac{HPI_t - HPI_{t-1}}{HPI_{t-1}}$$

- Net Migration: In-migrants minus out-migrants.

$$Net\ Migration = Migrants_{In} - Migrants_{Out}$$

- Migration Rate: Net migration divided by provincial population.

$$Migration\ Rate = \frac{Net\ Migration}{Population}$$

3. Descriptive Analysis

3.1 Overall Summary Statistics

Summary statistics indicate moderate variation in HPI growth across provinces and years, with migration rates generally small in magnitude. Correlation analysis suggests a weak but positive relationship between migration rates and HPI growth.

3.2 Graphical Analysis

Time-series plots show significant spikes in housing price growth during 2021–2022 (can primarily be explained by COVID-19 era housing price hikes), while migration rates increased modestly following 2020. Scatter plot analysis reveals a positive but weak linear relationship between migration rates and housing price growth.

3.3 Provincial Heterogeneity

Provincial analysis highlights differences in volatility and growth patterns. Western provinces display higher variability in housing price growth compared to Atlantic provinces.

4. Regression Analysis

A baseline regression model was estimated to evaluate the relationship between migration rates and HPI growth. The estimated coefficient on migration rate was positive, but the magnitude suggests migration explains only a small portion of variation in housing price growth.

Further specifications may include lagged migration variables and fixed effects to account for province-specific characteristics.

5. Interpretation and Limitations

While migration contributes to housing demand and may exert upward pressure on prices, housing markets are influenced by multiple additional factors including interest rates, income growth, supply constraints, and policy interventions.

Limitations include:

- Anomalies during the COVID-19 period skewing results.
- Housing price growth (constructed from monthly data) and migration data (annual fiscal-year basis) may not perfectly align in timing, even though averages across 12 months was used for comparing year-to-year.
- Provincial averages may mask significant within-province variation (e.g., Toronto vs. Northern Ontario, Vancouver vs. Interior BC).

6. Conclusion

The findings suggest a weak but positive association between interprovincial migration rates and housing price growth in Canada. While migration plays a role in shaping housing demand, it is not the dominant driver of price fluctuations during the study period.